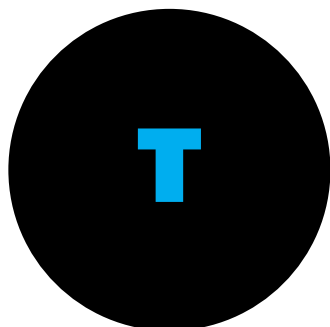




THE YEAR WAS 2020, a time of significant market turmoil exacerbated by various economic headwinds due to the Covid-19 pandemic. That year and the ones after it have turned out to be unforgettable for most people, organisations and sectors, and not always in a good way. But one segment of the economy that benefitted hugely due to the pandemic, even as most others ran for cover, was retail investors.

The Indian stock markets—that had been struggling for decades to enhance their penetration into non-metros and the hinterland areas—suddenly saw a deluge of new and young investors. More importantly, the new entrants were coming from across the country.

The influx of the average Joe and Jane as retail investors during the lockdown has been amply corroborated by the fact that the share

of retail participation on the National Stock Exchange (NSE)—the country's largest bourse in terms of market share—jumped to 45 per cent in FY21, from the previous year's tally of 38.8 per cent.

This was seen as a huge milestone for the Indian stock markets as it was the first time that retail investors accounted for over 40 per cent of the total trading turnover in a fiscal. In contrast, their share was only at 33 per cent in FY16. Interestingly, a large section of market participants believed that the long-awaited inflection point had finally arrived as a large pool of India's household savings was flowing into equities.

Indeed, the inflection point was upon the markets, and brokers—including new-age tech-led platforms—were busy courting new clients through various incentives. Consequently, for most of the leading broking firms, the duration of the Covid-19 lockdowns has been the best period till date in terms of the number of new clients on-boarded.

But now, it seems that the number of retail investors jumping into the markets is tapering as the effects of the pandemic wear off. "The Covid-19 years set a high benchmark in terms of new client

additions in the market. With a record number of investors entering during that period, it becomes challenging to continue growing at the same pace. It may take some time before we see a consistent upward trend in new client numbers again," says Faisal Mohammed, Associate VP-Business at Zerodha.

A couple of weeks ago, even the World Health Organization officially stated that Covid-19 is no more a global health emergency. Separately, data shows that the interest level of retail investors in the stock markets is also waning since the past many months.

For context, the share of retail investors in the total turnover of the NSE dipped to 40.7 per cent in FY22 from a high of 45 per cent in FY21; the number fell to 36.5 per cent in FY23.

"The share of retail investors tapered significantly in FY23, as they reduced their direct participation in Indian equities through secondary markets... Retail inflows in FY23 were the lowest in the past three years," states the latest monthly bulletin of NSE.

Market participants attribute this trend to a combination of factors, ranging from heightened market volatility and correction, to range-bound trading post the highs of 2020 and 2021, to the global economic slowdown and rising interest rates. The fact is that the sentiment of retail investors has taken a hit, making them increasingly cautious when it comes to investing their hard-earned money in the markets.

THE VANISHING TRIBE

"During Covid-19, brokers had spent a lot of money to acquire new customers. Many of these custom-

THE CUMULATIVE SHARE OF DOMESTIC INSTITUTIONAL INVESTORS, RETAIL AND HNI (HIGH NET-WORTH INDIVIDUAL) INVESTORS TOUCHED A PEAK OF 25.72 PER CENT ON MARCH 31, 2023, FROM 24.44 PER CENT ON DECEMBER 31, 2022

